Step 3: Once the beneficiary is added, choose RTGS / NEFT / IMPS as mode of Fund Transfer.

Step 4: Select the account to transfer money from, select the payee, enter the amount to be transfered and add remarks (optional).

Step 5: Click on submit.

Step 6: Enter the OTP received to mobile number linked to the corresponding account to complete the transaction.

Modern Electronic funds transfers are secured by a personal identification number (PIN), one-time password (OTP) etc. An automated clearing house (ACH) processes the payment then. See Figure 16.10



Indian Financial System Code (IFSC) is an 11 digit alpha-numeric code issued by Reserve Bank of India to uniquely identify individual bank's branch in India. It is used for domestic e-payments. SWIFT code is used for international bank transactions.

16.6 Unified Payments Interface

Unified Payments Interface (UPI) is a real-time payment system developed by National Payments Corporation of India (NCPI) to facilitate inter-bank transactions. It is simple, secure and instant payment facility. This interface is regulated by the Reserve Bank of India and used for transferring funds instantly between two bank accounts through mobile (platform) devices. http://www.npci.org.in/

Unlike traditional e-wallets, which take a specified amount of money from user and store it in its own account, UPI withdraws and deposits funds directly from the bank account whenever a transaction is requested. It also provides the "peer to peer" collect request which can be scheduled and paid as per requirement and convenience.

UPI is developed on the basis of Immediate Payment Service (IMPS). To initiate a transaction, UPI applications use two types of address - global and local.

- Global address includes bank account numbers and IFSC.
- Local address is a virtual payment address.

Virtual payment address (VPA) also called as UPI-ID, is a unique ID similar to email id (e.g. name@bankname) enable us to send and receive money from multiple banks and prepaid payment issuers. Bank or the financial institution allows the customer to generate VPA using phone number associated with Aadhaar number and bank account number. VPA replaces bank account details thereby completely hides critical information.

The MPIN (Mobile banking Personal Identification number) is required to confirm each payment. UPI allows operating multiple bank accounts in a single mobile application. Some UPI application also allows customers to initiate the transaction using only Aadhaar number in absence VPA.

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